Arizona Powered-Land Option-Flip Strategy — Viability Report

Prepared: August 1, 2026 ·**Scope:** Assessment of a proposed strategy — option Arizona land, commission electrical-capacity reports, resell to data-center companies at a 2–5x multiple — evaluated against the user's uploaded 255-site Arizona screen, current market transactions, utility large-load processes, and the user's stated constraints (under $100k capital, 12–24 month exit, preference to close-then-resell).

Executive Summary — The Verdict

The strategy points at a real market inefficiency, but the version described cannot capture it at a $100k budget in 12–24 months. It is viable only in a modified form: assign the option rather than close, sell diligence rather than power, and treat 1.2–1.6x (or a flat assignment fee) as the realistic outcome — not 2–5x.

The core flaw is one of kind, not degree. The 2–5x (and larger) multiples observed in real transactions are paid for **utility commitments** — a will-serve letter, an executed service or interconnection agreement, a queue position with a credible energization date — layered on top of **entitlements**. A consultant-prepared "electrical report" showing theoretical capacity is neither of those things. Buyers in this market are explicitly trained to discount it: as one land brokerage that specializes in data-center sites puts it, the premium attaches to parcels where the power delivery timeline is backed by the utility, because "sites with available power and a utility Letter of Authorization already in place command a premium because the interconnection process — often the longest and most expensive part of development — has already been completed." (QuoteColo) What you are describing is the *beginning* of the value-creation ladder, and the market pays for the *top* of it.

Three findings from this research compound the problem, each specific to your own uploaded work. First, the crown jewels of your screen — Cholla, Springerville, and Coronado, your top three sites — are **no longer available in any meaningful sense**: APS is converting Cholla to gas (380 MW, in-service 2029) (Arizona Public Service) , TEP is converting Springerville Units 1–2 to gas ($170M, Q1 2030), SRP is converting Springerville Unit 4 and all of Coronado to gas (Coronado project ~$1.1B through 2045) (Enerdata) . The retired-plant interconnection capacity your screen scored so highly is being **re-absorbed by the utilities themselves**, which means neither the plant sites nor their grid headroom will come to market — and, worse for the flip thesis, the utilities are rebuilding exactly the kind of powered campus a flipper would hope to sell. Second, your screen's single biggest self-identified vulnerability has already fired: **Mohave County adopted Ordinance 2025-05** requiring data centers to bring their own on-site energy and dry cooling via Special Use Permit — precisely the "quiet ordinance" scenario your method file warned could reorder the ranking, in the county holding 6 of your top 25. (AZBEX) Third, the financial mechanics of the power industry in 2025–2026 have been deliberately restructured against exactly this kind of play: utilities and grid operators now demand proof of site control, study fees of $10,000–$100,000+, deposits, anti-"phantom load" disclosures, withdrawal penalties, and increasingly non-transferable, take-or-pay commitments — a stack designed to make speculative capacity claims expensive to hold and hard to sell. (Compute Law Blog)

What survives scrutiny is a narrower, honestly-described arbitrage: your screen itself is the asset. A $40k–60k spend — option fee, consultant feasibility memo, title and legal — on one or two carefully chosen substation-adjacent parcels in co-op or irrigation-district territory, packaged as an assignable option plus a clean diligence room, can plausibly be sold to a funded developer at a markup or a fee. That is a real business; it is simply a **finder's and de-risking business**, not a 2–5x land flip. The sections below

lay out the evidence, the math, the specific ways your own data has moved since you compiled it, and a concrete revised playbook.

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1. What the Strategy Gets Right

Before dissecting the failure modes, credit where due: the underlying thesis — that **power access, not land, is the scarce asset in data-center development, and that scarcity is monetizable** — is not only correct, it is the single most documented fact in the 2025–2026 market. CBRE's H2 2025 North America report states that "grid-power capacity for existing projects is largely booked through 2030 in most markets," that "sites offering power access within 18 to 36 months for greenfield development are highly sought after," and that power scarcity is "escalating site costs," with recent transactions in Northern Virginia and the Northeast exceeding **$8 million per acre**. (CBRE) JLL's year-end 2025 report records vacancy at 1% for a second consecutive year, 92% of under-construction capacity precommitted, and 64% of the construction pipeline now in "frontier" markets — exactly the secondary and tertiary geography your screen targets. (JLL) Phoenix specifically has become the fourth-largest North American market, with vacancy cut in half to 1.7%, 112.4 MW of net absorption, and land prices appreciating 40–50% year-over-year — the fastest of any secondary market. (CBRE)

The structure of the play is also institutionally recognized rather than exotic. CBRE IM's taxonomy of data-center investment strategies names "powered land" explicitly: "the investor acquires land, completes entitlements, secures the provision of power and then sells the shovel-ready site," avoiding operational risk in exchange for giving up recurring cash flow. (CBRE Investment Management) And the instrument you chose — the option-to-purchase — is exactly what professional developers use at the site-evaluation stage: the Bipartisan Policy Center's development-cycle overview describes developers pursuing "land-control agreements, such as purchase options or letters of intent" while they evaluate power, water, fiber, and permitting. (Bipartisan Policy Center) Your instinct to control land cheaply while proving up its power story is, in other words, the industry-standard first move.

The insight embedded in your uploaded screen is also genuinely differentiated. You correctly identified that retired coal plants carry existing high-voltage interconnection — the single hardest thing to replicate — and that Arizona's patchwork of ACC-regulated IOUs, SRP, co-ops, and irrigation districts creates information asymmetry that a diligent researcher can exploit before institutional capital arrives. The problem is not the thesis, the geography, or the instrument. The problem is the **value step the plan actually performs** versus the value step the market pays a multiple for — and that is where the rest of this report concentrates.

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2. Where the 2–5x Multiple Actually Comes From

2.1 The transaction evidence

The headline multiples circulating in this sector are real but consistently mis-attributed. The canonical example is the Devlin Technology Park in Bristow, Virginia: Stanley Martin Homes assembled roughly 270 acres for approximately $51 million, and in November 2025 Amazon closed on 189 of those acres for approximately $700 million — about $3.7M per acre, a return exceeding 1,200% on the assembled position. (landapp.com) What is easy to miss in that story is what happened between assembly and sale: the land was rezoned from residential to data-center use, pulled through the entitlement process in the world's deepest data-center market, and sold into a power-moratorium supply crunch. The multiple was

paid for **entitlements plus market position plus scarcity**, not for the land and not for any report about the land.

Arizona's own comps tell the same story at lower altitude. QTS paid $246.8 million for 206 acres in the West Valley in July 2024 (~$1.2M/acre) and $255 million for 375 acres in Glendale in 2022; Vantage paid approximately $1.5 million per acre for 34 acres in Glendale in 2023; Microsoft paid over $258 million for two El Mirage parcels in May 2024. (Baxtel) Every one of those is a **metro Phoenix, fiber-rich, utility-engaged** transaction. Contrast Project Blue: Pima County sold 290 acres of raw, unpowered desert to Beale Infrastructure for approximately $20 million — roughly **$69,000 per acre** — and even that price embedded a rezoning vote, a negotiated economic-development package, and a TEP special-contract path that later produced a 286 MW capped energy services agreement now under Attorney General appeal. (DatacenterDynamics) The gap between $69k/acre raw-with-a-story and $1.2M/acre powered-and-entitled *is* the value ladder, and brokers who sell shovel-ready sites quantify the premium attributable to a guaranteed utility power allocation at **$100,000 to over $500,000 per acre** above raw value. (LandGate)

2.2 The value ladder, visualized

The chart below assembles these documented price points into the ladder your plan climbs. Note the log scale: the step your plan executes — commissioning a consultant report — moves value marginally, while the steps that produce 2–5x and beyond (entitlements, then a utility commitment) each cost an order of magnitude more money and time than the step before.

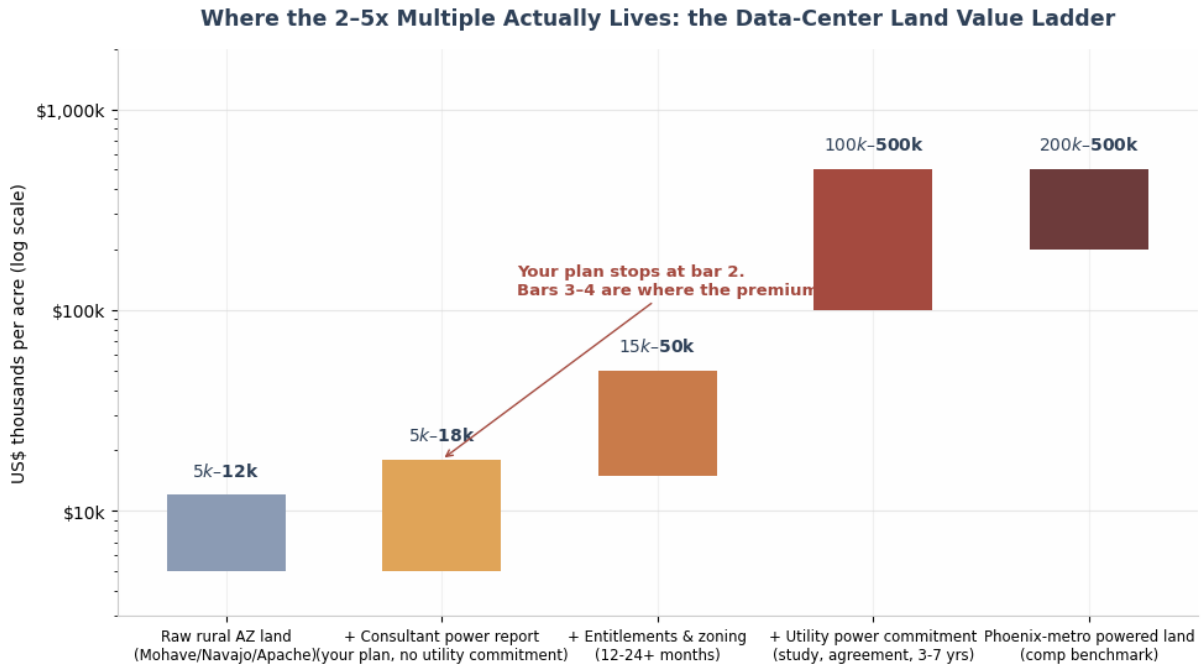


Figure 1: The data-center land value ladder: raw land, consultant report, entitlements, utility commitment, and metro benchmarks on a log scale

The ladder explains both why your target multiple is not crazy and why your stated plan cannot reach it. A 2–5x outcome is entirely plausible for land that crosses from bar 1 to bar 4 — raw desert at $5–12k/acre becoming committed powered land at $100k+/acre is a 10x-plus move, and even partial progress (raw to entitled, bar 3) can support 2–4x in the right county. But each rung has a toll: entitlements mean 12–24+ months of zoning process with real political risk; a utility commitment means study fees,

deposits, financial-assurance requirements, and increasingly a take-or-pay contractual posture that no $100k-budget actor can posture into. The plan as described buys the cheapest rung and prices the exit at the most expensive one.

Rung	What the buyer gets	Documented $/acre signal	Typical cost & time to produce
Raw rural AZ land	Dirt + coordinates	Mohave listings avg ~$11.7k/ac; cheap desert $1.2–3.5k/ac (landbrokermls.com)	Purchase price only
+ Consultant power report	A third-party opinion on capacity	Uplift marginal; buyers re-verify everything	$25–75k, 2–6 months
+ Entitlements (zoning, SUP)	Legal right to build	Partial premium; Project Blue raw+rezoned $69k/ac (DatacenterDynamics)	12–24+ months, political exposure
+ Utility commitment	Will-serve / ESA / queue position	Premium of $100k–500k+/acre over raw (LandGate)	$100k+ fees & deposits, 1–3+ years, financial assurance
Metro powered comp	All of the above + fiber + market	$0.7M–$1.5M/ac West Valley; $2–4M+ NoVA (Baxtel)	Institutional capital, 3–7 years

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3. The "Electrical Report" Problem

3.1 A consultant's report is not capacity, and the market knows it

The pivotal assumption in the plan is that an "electrical report showing the land can handle large electric capacity" is a saleable value-add. The market evidence says buyers treat such documents as **marketing material to be independently re-verified**, not as de-risking. The specialist brokerage guidance for MW-scale listings instructs buyers to ask of any claimed available load: "Is this live today, or contingent on a Letter of Authorization that takes months? Ask for the interconnection agreement" — and of any substation-distance claim: "Verify the substation has available capacity and ask about the utility queue." (QuoteColo) A seller-side legal guide is equally blunt: "In this sector, power is often the asset. Sellers who assume proximity equals deliverability may misprice the site or negotiate from false premises." (lowndes-law.com) Your own screen already proved the underlying point from the data side: HIFLD publishes no MVA or MW rating for any substation, so 248 of your 255 candidates carry **null capacity**, and proximity-plus-voltage is an availability signal, not a capacity signal — a 500 kV substation with no spare transformer capacity is worth less than a 230 kV one with headroom, and no public dataset can tell them apart.

There is a second, subtler problem: even if a competent engineering firm models the transmission system correctly, the answer it produces is **theoretical capability, not permission**. Servable load depends on transformer bank ratings, conductor limits, protection schemes, the utility's planning criteria, and — decisively in 2026 — the utility's commercial willingness to commit, none of which a consultant controls. Utilities themselves are drowning in speculative requests: APS alone has roughly **10 GW of pending data-center interconnection requests** it says it cannot commit to serve without risking reliability for

existing customers (Utility Dive) , and industry-wide there are "five to 10 times more interconnection requests than data centers actually being built." (Utility Dive) A consultant's stamp on a PDF does not move a parcel one position in that queue, and buyers underwriting eight-figure land purchases know it.

3.2 The real thing costs real money — and expires

Obtaining the document that *does* move value — a utility load study, capacity commitment, or service agreement — has a published price structure that sits awkwardly against a $100k total budget. Georgia Power's data-center tariff settlement established tiered study fees of **$10,000 / $50,000 / $100,000** scaled to the size of the capacity request. (CoBank) Texas SB 6 floors the initial transmission screening study fee at **$100,000**, adds per-megawatt financial-security obligations on the order of $50,000/MW in draft PUCT rules, and requires proof of site control plus disclosure of parallel requests — an explicit anti-phantom-load mechanism. (Compute Law Blog) On the generation side of APS's own tariff, the fee stack is a $100,000 study deposit, a $5,000 non-refundable application fee, and a further $200,000 commercial-readiness payment — directional evidence of what "sitting at the table" costs in APS territory. (zeroemissiongrid.com) Portland General's process illustrates the structure: a non-refundable application fee plus a reconciled study deposit, with the completed study **expiring 60–90 days after issuance** unless extended. (PGE Oregon)

The expiry point deserves emphasis because it inverts the flip logic. The plan calls for obtaining the electrical validation *first* and selling *later*, but a utility study is a perishable good tied to a specific applicant's load request. Commission it at month 3 of your option and it may be stale by month 6; the credible buyer at month 14 inherits an expired study and must restart — at which point your report adds nothing the buyer's own process wouldn't produce. Meanwhile the queue position and any capacity reservation attach to the applicant's account, site control, and financial commitments; under the emerging federal framework (FERC's large-load rulemaking, expected final around June 2026), load customers face standardized deposits, readiness proofs, withdrawal penalties, and 100% responsibility for assigned network-upgrade costs. (White & Case LLP) The 2025–2026 policy direction — from DOE's Section 403 directive to PJM's co-location carve-outs to Arizona's own HB 2756 — is uniformly toward **hardening commitments and shrinking speculative optionality**, as Janus Henderson's sector analysis notes: "Regulatory regimes are moving toward longer-term take-or-pay structures and direct infrastructure contributions. This could reduce speculative optionality and concentrate value in committed assets." (Janus Henderson Investors) The system is being redesigned, in real time, against your exact business model.

3.3 Can a land-flipper even request the study?

A final mechanical issue: large-load studies are customer processes. The utility is evaluating a *load* — a facility with a defined demand profile, ramp schedule, load factor, and credit posture — not a parcel. Texas requires disclosure of backup generation covering 50% of on-site demand and of parallel requests elsewhere; SRP's E-67 applies to *new accounts* with 20 MW forecast load and imposes minimum billing at 80% of forecast; APS's XHLF revision (Docket E-01345A-25-0105, decision expected before end of 2026) proposes re-scoping the tariff to 5 MW data centers with **direct assignment of new-generation costs** to the customer class. (Compute Law Blog) At the ACC's April 2026 workshop, APS and SRP described interest that "currently exceed[s] their capacity to serve" — SRP already serving 59 large-load customers totaling ~7,000 MW, APS estimating ~13.1 GW of large-customer peak this year — and both described queue processes designed for "whittling down prospective data center customers" and standard agreements requiring "up-front financial support." (Arizona Corporation Commission) A non-end-user holding an option on land is, from the utility's perspective, indistinguishable from the phantom load they are actively engineering out of their queues. You may get a preliminary feasibility conversation; you will

not get a bankable commitment without posturing as — or bringing — the real customer.

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4. Your Own Screen, Three Months Later: What Has Moved

4.1 The three crown jewels are being repowered by their owners

Your screen's central insight — that retiring coal plants are where the acquirable interconnection lives — was correct. The market reached the same conclusion, faster, with more capital. Cholla (your #1, score 93.64) ceased coal generation in March 2025; APS has since announced it will convert two units to natural gas, adding approximately **380 MW** with construction from 2028 and a 2029 in-service target, explicitly because "this project would be located at an existing power plant site, [so] very little new transmission infrastructure would be needed." (Arizona Public Service) Springerville (your #2) is being converted to gas across three of four units: TEP's Units 1–2 ($170M, pipeline by end-2029, conversion Q1 2030), SRP's Unit 4 (approved November 2025, complete by December 2029), with Tri-State's Unit 3 retiring 2031 against 1,250 MW of replacement renewables. (gem.wiki) Coronado (your #3) — SRP's 762 MW plant supplying ~10% of SRP peak — won unanimous ACC approval in March 2026 for gas conversion completing late 2029, at a cost of $1.1B through 2045. (Enerdata)

Read those paragraphs as a land speculator: **the interconnection capacity your model treated as stranded and available is being re-absorbed by the incumbent utilities for their own generation.** The sites will not be sold; the substations will not have the implied headroom; and the comparison to Homer City, Pennsylvania — the marquee coal-to-data-center conversion, where the plant owner plus Kiewit and GE Vernova are building a 4.4 GW gas campus across 3,200 acres — shows who captures that value when it does get captured: the party that already owns the asset and can fund turbine purchases, not an option-holder next door. (homercityredevelopment.com) The version of your thesis that said "buy near the retiring plant because its grid room must go somewhere" has been answered by the utilities: it is going to their own gas turbines. This does not kill the substation candidates (ranks 4–25), but it demotes the top of your ranking from "unique interconnection assets" to "good co-op-territory parcels," and it removes the single strongest narrative a flipper would have used in a sale memorandum.

4.2 The political-score vulnerability you flagged has already fired — in Mohave

Your method file's self-assessment was admirably honest: "All 25 top candidates sit in jurisdictions that AZ_POLITICAL_NOTES.md did not cover… If Mohave, Yuma, Navajo, Apache or Greenlee county has quietly adopted a data center ordinance, the affected candidates are overscored by up to 13 of 22.7 political points and the ranking reorders substantially. **This is the single most likely way the screen is wrong.**" It is now, in fact, wrong in exactly that way. The Mohave County Board of Supervisors — home to **6 of your top 25**, your recommended "volume play" — adopted **Ordinance 2025-05**, requiring data centers to obtain a Special Use Permit, provide their own on-site energy, and use dry cooling, after having already struck data centers from the county's economic-development target list in July 2025. (AZBEX) An ordinance that mandates **on-site generation** is close to the worst-case text for a grid-adjacency flip thesis: it tells the market that in Mohave, proximity to a substation is not the value proposition the county wants, and it converts every Mohave candidate's 22–23/25 inferred political score into an unresearched liability pending a planning-department call.

The pattern is statewide, not isolated. Cochise County adopted Ordinance 26-09 in April 2026 (special-use authorization, noise studies, water plans, restricted potable-water cooling) (This Is Server Country) ; Phoenix, Mesa, Chandler, Marana, and Tucson all operate adopted or drafted data-center-specific regimes;

Chandler rejected a project 7–0 in December 2025 after organized opposition; and the legislature's 2026 session produced HB 2756 (ACC authority over minimum bills, collateral, and infrastructure-payment requirements for extra-high-load-factor customers) and HB 4168 (the three-year pause on new CDC tax-exemption applications your summary already flags). (This Is Server Country) At least **25 data-center projects were canceled nationally in 2025 due to local opposition — four times the prior year** — which is precisely why "shovel-ready, pre-entitled sites with community engagement already completed command a significant premium over raw land that has not cleared those hurdles." (QuoteColo) The premium flows to whoever absorbed the political risk. In your plan, no one absorbs it; the buyer still must.

4.3 The fiber gap on the I-40 east corridor

One more screen-input worth stress-testing, because buyers will: northern Arizona is a documented **fiber desert**. The Sun Corridor Network's I-40 initiative exists precisely because "major east-west and north-south long-haul high-capacity fiber routes run through Sunnyvale, Salt Lake City, Denver, El Paso, Phoenix, and Los Angeles, bypassing northern Arizona." (ASU Enterprise Technology) NACOG's broadband plan describes Navajo County connectivity as "sporadic at best," with most locations outside the I-40 towns having "few to no options," and prices ~$16.8M of new construction just to close regional gaps. (nacog.org) The funded ADOT dark-fiber build (eX², $140M+) runs I-17 Phoenix→Flagstaff and **I-40 West** Flagstaff→California — which helps Kingman-side Mohave sites over time but leaves Joseph City, Holbrook, and Springerville (east of Flagstaff toward New Mexico) dependent on a *proposed* multi-state initiative. (Arizona Commerce Authority)

The mitigant is real and worth stating in any sale memo: AI **training** workloads — the demand driver behind gigawatt campuses like Abilene's Stargate — are latency-tolerant, with "seconds to minutes acceptable," and the industry is actively siting training campuses in power-rich remote regions while inference moves to the edge. (174 Power Global) A dark-fiber IRU or a carrier build along I-40 East is a solvable, financeable problem for a 500 MW training campus in a way that a 5 ms latency requirement would not be. But "solvable by the buyer" and "already solved" price differently, and the buyer's underwriting will apply the difference to your acre.

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5. The Economics Against Your Constraints

5.1 The cost stack

Your constraints — under $100k all-in, 12–24 month exit, preference to close and resell — collide with the documented fee structure at three separate points. The full stack for the plan as described (option fee at the 1–5% industry norm (marinbar.org) , consultant study, legal, title, carrying, and then the *utility-grade* validation that actually moves price) totals roughly **$56k at the bare minimum and $325k+ done properly**, before the land itself is ever purchased. Closing on even 100 rural acres at $5–12k/acre requires another $0.5–1.2M of cash or financing. The chart below puts the three versions of the strategy against the budget line.

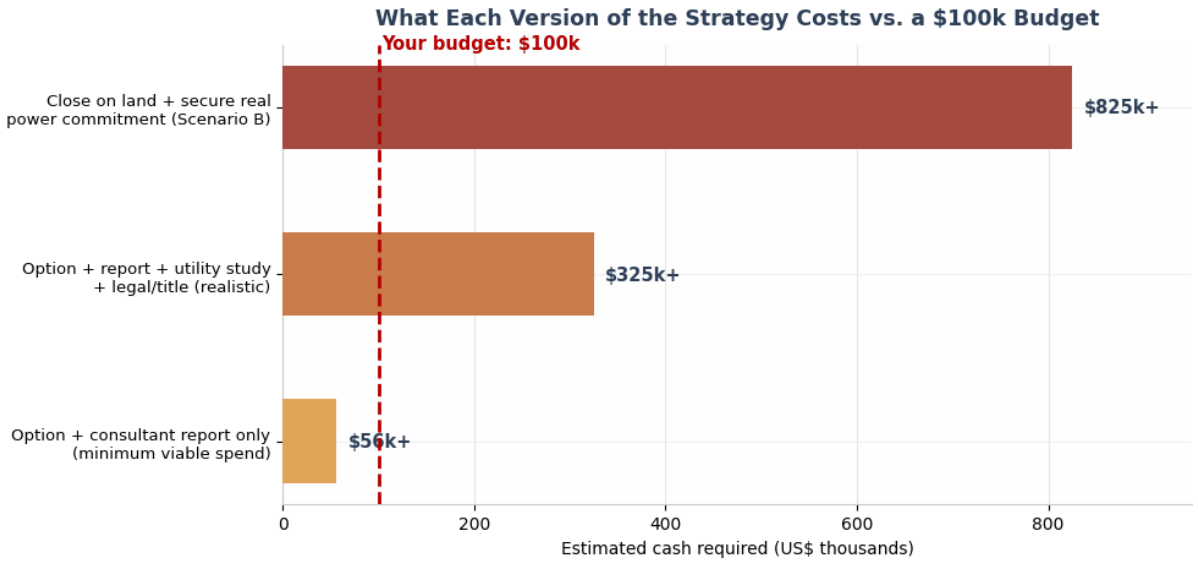


Figure 2: Cost of each version of the strategy versus a $100k budget

Cost item	Low	High	Basis
Option fee (1–5% of $0.5–1.2M price) id=135## (marinbar.org)	$5,000	$60,000	Industry norm 1–5%; comme
Extension/monthly option payments	$0	$40,000	Monthly-fee precedent $(4k/mo)[(BoardDocs)](https //www.boarddocs.com/il/ch Real%20Estate%20Option%2 %20500%20W%20Church%20
Consultant power feasibility report	$25,000	$75,000	Proxy: utility tiered study fees $10–100k (CoBank)
Utility formal study fees & deposits	$10,000	$100,000+	GA tiers; TX SB6 floor $100k (CoBank)
Legal (option/PSA, entity, assignment)	$8,000	$25,000	Market rate, CRE counsel
Title, ALTA survey, Phase I ESA	$5,000	$15,000	Market rate
Carrying (taxes, insurance, 12–24 mo)	$3,000	$10,000	Rural AZ
Total (excluding land purchase)	**$56,000**	**$325,000**	
Land purchase at closing (100 ac)	$500,000	$1,200,000	$5–12k/acre (landbrokermls.com)

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5.2 The multiple math, honestly

Run the deal on 100 acres at $10k/acre. You option it (say $20k fee), commission the report ($40k), spend $20k on legal/title/carrying — $80k in, fitting the budget. A buyer who believes your diligence might pay a 20–50% diligence-and-scarcity premium for an assignable position on a genuinely well-sited parcel: call it $1.0–1.5M for the property against your $1.0M strike. But you do not have $1.0M to close, so the monetizable instrument is the **option assignment**, and option assignments clear at the *spread*, typically realized as a fee of 5–20% of contract price — $50k–$200k gross on these numbers, against $80k of sunk cost, **if** a buyer materializes inside the option window and **if** the site's capacity story survives the buyer's own verification. That is a plausible small win or a plausible total loss; it is not a 2–5x return on anything except, optimistically, the option fee itself.

The 2–5x path requires climbing to rung 3–4 of the ladder: entitlements plus a utility commitment. The cash cost of that version — land purchase plus studies plus carrying through a multi-year utility process — starts around **$825k and realistically exceeds $1.5–2M** once financial-assurance requirements are honored, with a 3–7 year horizon that matches how professionals actually do it: Tract's Caldwell County megasite took an 18-month entitlement engagement *before* its 1,515-acre acquisition, and its 360 MW of initial power arrives in 2028 via a Facility Design Agreement with Bluebonnet Electric — three-plus years from agreement to energization. (Data Center Frontier) Grid interconnection generally runs 3–15 years, substation upgrades 3–7 years. (USP&E) Twelve to twenty-four months is enough time to sell a story; it is not enough time to build the asset the story is about.

5.3 Timeline cross-check

The 12–24 month window is not impossible — it is simply only compatible with the *assignment* version. Negotiating the option (1–4 months), the consultant memo (2–6 months), county zoning confirmation (2–8 months), and a brokered sale of the position (6–18 months) can all fit inside 24 months, provided the option is written with an assignment clause and at least one extension. What cannot fit is the version where value is maximized: any process that depends on a utility queue position, a special-use permit hearing cycle in a county now regulating data centers, or a rezoning with community engagement runs on other people's calendars. Vintage Partners' abandoned Laveen project is the cautionary Arizona data point: even a funded developer with a 63-acre metro site walked away in March 2026 when Phoenix's new standards and **SRP's clustered large-load queue** raised the mitigation and grid-upgrade burden — a reminder that in 2026, the queue itself is a permitting regime, and it does not respect anyone's 24-month option window. (This Is Server Country)

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6. Who You Are Competing With

The flip you describe is not an undiscovered niche; it is the business model of several well-capitalized firms, and knowing their shape tells you where a $100k entrant can and cannot stand. At the top is **Tract**: 25,000 acres under control across multiple states, a 25 GW development thesis, backing from Berkshire Partners, PSP Partners, Permira, S2G, and Columbia Capital, and a leadership bench built from Amazon's former global energy head and Cologix/Teraco veterans. Its model is your plan executed at institutional scale — aggregate land years ahead, master-plan power and cooling, cultivate utilities and counties, deliver shovel-ready campuses. (Data Center Frontier) In Arizona specifically, **Arizona Land Consulting** bought 160 acres in Buckeye for $21.7M expressly to resell to a data-center developer and is planning a 1.5 GW Tonopah campus; **QTS, Vantage, Compass, Stream, Aligned, Takanock,** and the hyperscalers themselves have absorbed most metro-adjacent inventory at $0.7–1.5M/acre. (Baxtel)

The more instructive competitor, though, is the **utilities**. The 2025–2026 wave of coal-to-gas conversions (Cholla, Springerville, Coronado) plus SRP's plan to more than double system capacity in ten years means the owners of Arizona's best interconnection points are themselves in the powered-campus business, with ratepayer-funded balance sheets and regulatory moats no flipper can replicate. (Arizona Public Service) And the end buyers have adapted too: hyperscalers and developers increasingly self-source through land-control agreements and utility coordination under NDAs, per the BPC development-cycle framework — meaning the most sophisticated counterparties you would sell to have already internalized the exact scouting function you are offering. (Bipartisan Policy Center) None of this forbids a small entrant; it confines the realistic edge to **speed and information asymmetry in overlooked micro-markets** — small co-op and irrigation-district territories, rural county seats, parcels the Tracts of the world consider too small — which is, not coincidentally, precisely where your screen's surviving candidates live.

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7. What a Viable Version of This Looks Like

7.1 The revised playbook

Restructured around the evidence, the strategy survives as a **diligence-and-assignment business** with the following shape. Target one, at most two, substation-adjacent private parcels of 40–200 acres in **single-utility, non-ACC territories** — your screen's co-op rows (Duncan Valley in Greenlee, Navopache in Apache) and irrigation-district rows (Wellton-Mohawk in Yuma) are the right hunting ground, because co-ops and districts have shorter decision chains, no ACC docket, and — critically — have *not* yet adopted data-center ordinances; your `all_overlapping_utilities` column should be used to exclude every AMBIGUOUS row where APS is the probable real provider, since APS territory now means a contested queue, XHLF revision risk, and direct-assignment cost exposure. (Arizona Corporation Commission) Exclude Mohave County until someone has called the planning department about Ordinance 2025-05's on-site-generation requirement; exclude anything relying on Cholla/Springerville/Coronado interconnection headroom, for the repowering reasons above.

Structure the control as an **assignable option with extension rights**, 1–3% fee, 18–24 month term plus one 6–12 month extension, seller credits at closing, and an explicit cooperation clause covering zoning inquiries and utility pre-application meetings — the documents buyers actually ask to see. (lowndes-law.com) Spend the diligence budget on the things a buyer cannot cheaply replicate: a county planning-department letter on data-center permissibility (this single page is worth more than any electrical study in 2026 Arizona), a utility pre-application meeting with a named system-planning contact and a written summary of stated capacity posture, a title package, ALTA survey, Phase I, and a one-page water memo built from your ADWR data with the air-cooling argument front and center — Project Blue's switch to air-cooled design after Tucson's water refusal is the template every Arizona buyer now knows. (This Is Server Country) Then sell the **position** — assignment of the option plus the diligence room — through a data-center land brokerage or directly to the merchant developers (Beale, Tract, ALC, Takanock-type buyers), priced as a fee or a modest spread, with a possible backend kicker (1–2% of the buyer's eventual land basis or a small per-acre override) replacing the fantasy of capturing the full ladder yourself.

7.2 Realistic outcomes, restated

Under this structure, the honest outcome distribution for one deal looks like: a base case where no buyer transacts inside the window and you lose $30–60k of option fee and diligence — the modal risk, and you should size the spend so losing it is survivable; a middle case where the diligence pack plus assignment sells for $50–200k gross against $50–80k sunk — roughly breakeven to 2–3x **on cash actually spent**,

achieved in 9–18 months; and a tail case where the parcel coincides with an active requirement (a merchant developer already circling the same substation) and the position clears at a premium — the outcome that makes the exercise worth doing but that cannot be underwritten in advance. Two structural improvements raise every branch of that distribution: partnering with a capitalized sponsor who funds the close in exchange for 50–70% of the spread (converting your information edge into carried economics instead of an impossible solo close), and sequencing the utility conversation *through* the likely buyer rather than ahead of it — letting the end user's credit and load profile unlock the study you could never credibly obtain, while your contribution remains the land control and the county/political de-risking they cannot outsource.

Element of original plan	Verdict	Revised form
Option-to-purchase as control instrument	**Keep** —industry standard (Bipartisan Policy Center)	Assignable, 18–24 mo + extension, cooperation clause
Target Arizona rural substation-adjacent land	**Keep, narrowed** —drop repowered plant sites; drop Mohave pending ordinance clarity	Co-op/district territories: Greenlee, Apache, Yuma rows
"Electrical reports" as the value-add	**Replace** —buyers re-verify; studies expire 60–90 days (PGE Oregon)	County permissibility letter + utility pre-app meeting + water memo
Close on land, then resell	**Drop at $100k** —requires $0.5–1.2M+ you don' t have	Assign the option; or partner with a capital sponsor for the close
2–5x multiple	**Reprice** —that' s rung 3–4 pricing on rung 1–2 work	0–3x on cash spent; tail upside via backend participation
12–24 month exit	**Keep** —fits assignment version only	Hard kill-date discipline at option expiry

8. Risk Register

#	Risk	Likelihood	Impact	Evidence / mitigation
1	Report-only diligence fails to move buyer pricing	High	High	Buyers demand interconnection agreement / LOA (QuoteColo) ; sell the county letter + land control instead
2	Utility study expires or is non-transferable before sale	High	Medium	60–90 day expiry norms (PGE Oregon) ; sequence studies through the end buyer

Table 4 – continued

#	Risk	Likelihood	Impact	Evidence / mitigation
3	County adopts restrictive ordinance during option period	Medium–High	High	Mohave 2025-05, Cochise 26-09 precedents (AZBEX) ; county letter first, option second
4	Queue/ anti-speculation rules block or devalue your position	Medium	Medium	SB6-style site-control, deposits, phantom-load disclosure; FERC rulemaking (Compute Law Blog)
5	Cannot fund the close when buyer wants a clean resale	High	High	$0.5–1.2M land cost vs <$100k budget; assignment structure or capital partner
6	Political backlash kills the submarket (Project Blue effect)	Medium	High	25 projects canceled nationally in 2025 (QuoteColo) ; Chandler 7–0 rejection (This Is Server Country)
7	Fiber inadequacy discounts I-40 East sites	Medium	Medium	Documented fiber desert; ADOT build is I-40 *West* (ASU Enterprise Technology) ; sell into training-workload demand
8	Market cycle turns before exit (AI capex digestion)	Low–Medium	High	JLL: 92% precommitted mitigates (JLL) ; but Fermi-style froth ($15B IPO, no tenants, no grid) shows the speculative layer can reprice fast (Center for Public Enterprise)

Table 4 – continued

#	Risk	Likelihood	Impact	Evidence / mitigation
9	Water narrative blindsides a non-AMA site	Low–Medium	Medium	20/20 = regulatory freedom, not physical water (your own caveat); lead with air-cooling
10	Seller refuses assignment or cooperates poorly	Medium	Medium	Assignment + cooperation clauses negotiated at signing (lowndes-law.com)

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9. Bottom Line

The honest one-paragraph answer to "is this viable?" is: **as a 2–5x land flip funded with under $100k and exited in 12–24 months, no — the multiple you are targeting attaches to utility commitments and entitlements that cost more money and more time than your constraints allow, the three best sites in your own screen are being repowered by their utility owners, your weakest-scored assumption (county politics) has already broken in Mohave, and the regulatory system is actively being restructured to eliminate exactly this kind of speculative position.** As a lean, assignment-based site-sourcing and de-risking play that monetizes your genuinely differentiated screen — selling land control plus political and utility pre-diligence to capitalized developers for fees, spreads, or backend participation — yes, it is a legitimate small business with realistic outcomes of breakeven-to-3x on cash at risk per deal, survivable downside, and a repeatable process. Do the county phone calls your own Counties-to-Call memo prescribes before spending a dollar on options: in the three months since your screen was compiled, the gap between "nothing found" and "nothing exists" has already cost your ranking one of its three priority counties, and the same gap is where every remaining assumption in the model now lives.

This report is for general informational purposes only and does not constitute legal, tax, investment, real-estate brokerage, or engineering advice. Utility tariffs, county ordinances, and market prices cited here change frequently; verify all figures with the relevant utility, county planning department, and qualified Arizona counsel before committing capital.